

EDWARD H. H. SIMMONS

1876–1955

The nephew and namesake of robber baron E. H. Harriman had the unfortunate experience of presiding over the New York Stock Exchange in 1929, the year of the Great Crash. Edward Simmons, a New Jersey native, graduated from Columbia University in 1898, and two years later he bought himself a seat on the New York Stock Exchange. Well respected from the start, he became a governor of the exchange in 1909; he was elected vice-president in 1921; and president in 1926, a position he held until 1930. During his term as president, he championed reform. In particular, Simmons despised “bucket shops,” which were gambling saloons that used securities and market fluctuations as a basis for laying bets.

In 1925, he said, “If I could reach all the investors of America—and who is not an investor nowadays?—I would try to impress upon them the menace of the bucket-shop keeper and the security swindler.” As Simmons pointed out, the swindler does not use violence like common criminals; however, he said, “His career can be traced by broken hearts and ruined lives. He strikes at the foundation of credit upon which the success of individuals, as well as of the country as a whole, is based.” Tragically, Simmons himself was swindled by his good friend Richard Whitney, who followed in his shoes as president of the New York Stock Exchange. Whitney stole money from a number of people to cover bad investments.

After the creation of the Securities and Exchange Commission in 1934 and with internal reform inevitable, the board of the stock exchange decided to rewrite its constitution. A committee of three members, with Simmons named chairman, was appointed to draft and recommend changes. Simmons also strengthened the stock exchange by adding to its physical size, increasing the membership by 275 seats. In a historically significant and somewhat ironic 1926 essay, *The Stock Exchange as a Stabilizing Factor in American Business*, he suggests that the market keeps business affairs in the open and everyone on their toes. Ironic because three years later the market would disintegrate into utter chaos, jump-starting the Great Depression.